

CHAPTER 21.

An Act to provide for the elimination of redundant spinning machinery in cotton mills in Great Britain by means of a Board having power to acquire property and to borrow and levy money; for the making of certain payments to the said Board out of the Consolidated Fund or moneys provided by Parliament, and the making of certain payments by the said Board to the Exchequer; and for purposes connected with the matters aforesaid. [29th May 1936.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :—

Establishment and Principal Functions of Spindles Board and Advisory Committee.

The
Spindles
Board.

1.—(1) With a view to the elimination of redundant spinning machinery in cotton mills in Great Britain, there shall be established a board (hereafter in this Act referred to as “the Spindles Board”) having such powers as are conferred on them by the following provisions of this Act.

(2) The Spindles Board shall consist of a chairman and two other members appointed by the Board of Trade after consultation with persons appearing to the Board of Trade to represent the interests of cotton spinners in Great Britain.

(3) The provisions of the Schedule to this Act shall have effect with respect to the constitution, remuneration, quorum, proceedings, incidental functions and winding up of the Spindles Board.

Power of
Spindles
Board to
acquire and
dispose of
spinning
plant, &c.

2.—(1) Subject to the provisions of this section, the Spindles Board may, during the period of two years beginning on the appointed day, acquire by agreement—

(a) such premises and land used, or appropriated for use, for the purpose of the business of a cotton

mill, and such machinery and other things whatsoever in or on premises or land used, or appropriated for use, for that purpose, as the Board consider it expedient to acquire with a view to the elimination of redundant spinning machinery in cotton mills in Great Britain; and

- (b) such easements or rights in respect of land or water as appertain to, or are enjoyed with, land which the Board propose to acquire under paragraph (a) of this subsection;

and the powers conferred by this subsection are hereafter in this Act referred to as "purchasing powers."

(2) At any time before the end of the period mentioned in the preceding subsection, the Board of Trade may, on the application of the Spindles Board and with the consent of the Treasury, make an order extending by one year the period during which the purchasing powers of the Spindles Board are exercisable.

(3) The Board of Trade, on an application, made in any year, in such manner as the Board may direct, by or on behalf of the owners of cotton mills in Great Britain in which it appears to the Board that there was, at the beginning of that year, spinning machinery the spindle capacity of which was not less than two-thirds of the spindle capacity of all the spinning machinery then in cotton mills in Great Britain, may (whether or not an order has been made under the last preceding subsection) make an order directing that the purchasing powers of the Spindles Board shall cease to be exercisable as from such date as may be specified in the order made under this subsection, without prejudice however to the performance of contracts duly entered into by the Spindles Board before the date on which the last-mentioned order is made.

(4) The Spindles Board may dismantle, break up, sell or otherwise dispose of any property, rights or interests acquired by them under this section, and may maintain and repair any such property if and in so far as it appears to them to be necessary so to do for the purpose of disposing of it:

Provided that the Board shall not cause any machinery or parts of machinery acquired by them

under this section to be removed from Great Britain, and shall not dispose of any such machinery or parts of machinery unless they have satisfied themselves, so far as they reasonably can, that the machinery or parts will not be removed from Great Britain.

(5) For the purposes of this Act, the business of a cotton mill shall be taken to include the carrying on in connection with cotton-spinning of any of the processes commonly known in the cotton-spinning industry as combing, carding, reeling, winding, warping, beaming and gassing; but nothing in this section shall be construed as authorising the Spindles Board to acquire any premises or land, or anything in or on any premises or land, if and in so far as the premises or land are or is used, or appropriated for use, for the purpose of carrying on any of the processes commonly known in the said industry as doubling, sizing, weaving, mercerising and dyeing.

The
Advisory
Committee.

3.—(1) For the purpose of advising the Spindles Board there shall be a committee (hereafter in this Act referred to as “the Advisory Committee”) consisting of six persons appointed by the Board of Trade, and of the members of the Advisory Committee—

- (a) three shall be persons appointed after consultation between the Board of Trade and the Federation of Master Cotton Spinners’ Associations, Limited;
- (b) one shall be a person appearing to the Board of Trade to represent the interests of cotton spinners in Great Britain who are neither members of the said federation nor members of any association which is a member of, or affiliated to, that federation;
- (c) one shall be a person appointed after consultation between the Board of Trade and the Joint Committee of Cotton Trade Organisations; and
- (d) one shall be a person appointed after consultation between the Board of Trade and the United Textile Factory Workers’ Association.

(2) It shall be the duty of the Spindles Board to consult the Advisory Committee from time to time

with respect to the discharge of the functions of the Board.

(3) If at any time the Advisory Committee resolve that an application ought to be made to the Board of Trade for the termination of the purchasing powers of the Spindles Board, the committee shall cause their resolution to be published in the London Gazette and in the Edinburgh Gazette and to be communicated to such bodies appearing to the Board of Trade to represent the interests of cotton spinners in Great Britain as the Board of Trade may direct.

(4) At any meeting of the Advisory Committee, three shall be a quorum, and the committee shall have power to act notwithstanding any vacancy among the members of the committee; and if at any such meeting the votes are equally divided on any question, the person acting as chairman of the meeting shall have a second or casting vote.

(5) The Spindles Board may place any of their officers or servants at the disposal of the Advisory Committee, on such terms as the Board think fit, and may, subject to the following provisions of this Act, incur on account of the committee such expenses as the Board may determine.

Financial Provisions.

4.—(1) At any time not later than three years after the appointed day, the Spindles Board may, for the purpose of defraying spindles expenses, borrow money in such manner (including the issue of bonds), and on such terms and conditions, as may be approved by the Board of Trade with the consent of the Treasury, and loans raised by the Spindles Board under this subsection are hereafter in this Act referred to as "loans on capital account":

Power of
Spindles
Board to
borrow.

Provided that the Spindles Board shall not be empowered by this subsection—

- (a) to borrow money otherwise than upon terms requiring that the whole of the money borrowed shall be repaid by the Board, together with the

interest thereon, not later than fifteen years after the appointed day; or

(b) to borrow in the aggregate more than two million pounds.

(2) Any money borrowed under the preceding subsection by the Spindles Board, and the interest thereon, may be charged on all the property and revenues of the Board.

(3) The Spindles Board, with the approval of the Board of Trade, may also borrow money for the purpose of defraying any expenses of the Spindles Board other than spindles expenses; but any money borrowed under this subsection by the Spindles Board (not being money advanced to them by the Board of Trade under the following provisions of this Act) shall be repaid by the Spindles Board, together with the interest thereon, not later than eighteen months after the day on which the money was borrowed.

The spindles
levy.

5.—(1) For the year beginning on the appointed day and for each of the next fourteen years there shall, subject to, and in accordance with, the following provisions of this Act, be paid to the Spindles Board by the owner of every cotton mill in Great Britain a levy (hereafter in this Act referred to as “the spindles levy”) in respect of the spindle capacity of the spinning machinery in that cotton mill.

(2) The spindles levy payable for any year in the case of a cotton mill shall, subject to the following provisions of this section, be one and one-sixth pence for each unit which, at the beginning of that year, was comprised in the spindle capacity of the spinning machinery then in the cotton mill, and shall be paid in four equal instalments payable respectively on the first day of the year and three months, six months and nine months thereafter.

(3) If, at the beginning of the second or any subsequent levy year, the total spindle capacity of the spinning machinery in all cotton mills in Great Britain of which any particular person is the owner exceeds the spindle capacity, as at the beginning of the appointed day, of the spinning machinery in all cotton mills in

Great Britain of which that person then was, or has, at any time since, been, the owner, except—

- (a) any cotton mill of which he is not the owner at the beginning of the said year, and in which, at the time when he ceased to be the owner thereof, there was any spinning machinery, and
- (b) any cotton mill of which he has become the owner after the beginning of the appointed day, and in which, at the time when he became the owner thereof or when any other person previously became the owner thereof after the beginning of that day, there was no spinning machinery,

the amount of spindles levy which, in the case of the first-mentioned cotton mills, is payable for the said year in respect of the said excess shall, in lieu of the sum which would, apart from this subsection, be so payable (hereinafter referred to as "the ordinary levy"), be the sum produced by multiplying the ordinary levy by the number of levy years which will have elapsed at the end of the said year, less the total sum (if any) already paid by virtue of this subsection in the case of those cotton mills.

(4) If, as respects the cotton mills of which any particular person is the owner at the beginning of the second or any subsequent levy year, there is no spindle capacity, as at the beginning of the appointed day, which can, in relation to that person, be taken into account for the purpose of the last preceding subsection, the amount of spindles levy which, by virtue of subsection (2) of this section, is payable for the said year in the case of those cotton mills shall be increased by the total sum which would, by virtue of that subsection, have previously become payable by way of spindles levy in the case of the cotton mills if the spinning machinery therein at the beginning of the said year had been therein at, and at all times since, the beginning of the appointed day, less the total sum (if any) which has already been paid by way of spindles levy in the case of those cotton mills :

Provided that if any of the said cotton mills was a cotton mill at the beginning of the appointed day, then for the purpose of ascertaining whether any, and,

if so, what, deduction is to be made under the preceding provisions of this subsection in respect of sums already paid by way of spindles levy, no account shall be taken of any sum which has accrued due by way of spindles levy in the case of that cotton mill before the first occasion after the beginning of the appointed day on which any particular person became the owner of the cotton mill at a time when there was no spinning machinery therein.

(5) The spindles levy payable for any year in the case of a cotton mill shall be a debt accruing due to the Spindles Board at the beginning of that year from the person who is then the owner of the cotton mill; and if, at any time in the course of that year, any other person becomes the owner of the cotton mill, he shall be treated for the purpose of this subsection as if he, as well as the first-mentioned person, had been the owner of the cotton mill at the beginning of the year.

(6) Any sum payable to the Spindles Board by way of the spindles levy may, without prejudice to any other mode of recovery, be recovered summarily as a civil debt.

Termination of
spindles
levy.

6. If the Board of Trade are satisfied that the Spindles Board have discharged and paid, or made adequate provision for discharging and paying, all liabilities and expenses (including the expenses of winding up) incurred or likely to be incurred by the Spindles Board, the Board of Trade may, with the consent of the Treasury, make an order directing that the spindles levy shall not be payable for any year whatsoever beginning after the day on which the order is made.

Funds of
Spindles
Board.

7.—(1) There shall be established under the control and management of the Spindles Board—

(a) a fund (hereafter in this Act referred to as “the spindles fund”)—

(i) into which shall be paid all moneys borrowed by the Board by way of loans on capital account, all spindles receipts, and all sums (including interest and dividends) realised by the Board from the investment of any moneys standing to the credit of the said fund, and

(ii) out of which (subject to the provisions of the next following subsection) shall be defrayed all spindles expenses; and

(b) a fund (hereafter in this Act referred to as "the general fund")—

(i) into which shall be paid all moneys received by the Board by way of the spindles levy and all moneys otherwise received by the Board that are not required by this subsection to be paid into the spindles fund, and

(ii) out of which shall be made all payments falling to be made by the Board, except payments in respect of spindles expenses or in respect of the investment of moneys standing to the credit of the spindles fund.

(2) The first eighty thousand pounds paid into the spindles fund shall be set aside in that fund as a reserve, which shall be applicable for the purpose only of making therefrom such temporary advances to the general fund as may be required for enabling the Spindles Board to meet obligations incurred by them in respect of loans on capital account (including obligations to carry sums to any sinking fund or loan redemption account established in connection with such loans); but nothing in this subsection shall be taken to restrict the application of any interest or dividends realised from the investment of any moneys of the spindles fund, or the application of the assets of the Spindles Board in the winding up of the Board.

Any advance made under this subsection to the general fund shall be repaid from that fund to the spindles fund not later than the end of the accounting period next following that in which the advance was made, and any sums so repaid shall form part of the said reserve.

(3) If, at any time after the end of the period during which the purchasing powers of the Spindles Board are exercisable, it appears to the Board of Trade that any moneys of the spindles fund not forming part of the reserve established under the last preceding subsection are neither required nor likely to be required for the purpose of defraying spindles expenses, the Board of Trade may direct that those moneys be transferred from the spindles fund to the general fund.

(4) Moneys transferred to the general fund in accordance with a direction given by the Board of Trade under the last preceding subsection shall not, except in the winding up of the Spindles Board, be applied for any purpose other than the redemption of loans on capital account.

Estimates
of expenses
of Spindles
Board.

8.—(1) The Spindles Board shall, as soon as may be after the beginning of the first accounting period, and not later than one month before the beginning of each subsequent accounting period, prepare and submit to the Board of Trade, in such form as the Board of Trade, with the approval of the Treasury, may prescribe, an estimate of the administrative expenses for that accounting period which are to be defrayed out of the general fund, and of the amount of any payments of moneys of the general fund which the Spindles Board propose to make in that period to any sinking fund or loan redemption account otherwise than under a contract or arrangement for the borrowing of money, and may subsequently prepare and submit in like manner supplementary estimates of such expenses and payments as aforesaid, and the Board of Trade may, after consultation with the Treasury, approve the estimates with or without modifications.

(2) The Spindles Board shall not incur any such administrative expenses as aforesaid for any accounting period, or make any such payment as aforesaid in any accounting period, except in accordance with the estimates for that period previously approved under this section by the Board of Trade.

Accounts of
Spindles
Board.

9.—(1) The Spindles Board shall keep, in relation to the spindles fund and in relation to the general fund, proper accounts in such form and manner as the Board of Trade, with the approval of the Treasury, may direct.

(2) Within one month after the end of each accounting period the Spindles Board shall prepare and submit to the Board of Trade in such form as may be prescribed by the Board of Trade with the approval of the Treasury, such accounts for that period with respect to the spindles fund and the general fund (including, in relation to the general fund, a revenue and expenditure account) as may be so prescribed, and the accounts

shall be transmitted as soon as may be by the Board of Trade to the Comptroller and Auditor-General, who shall examine and certify the accounts and shall lay copies thereof, together with his report thereon, before each House of Parliament :

Provided that this subsection shall not be construed as requiring the Comptroller and Auditor-General to lay copies of, and a report on, the accounts of the Spindles Board before Parliament more often than once a year.

(3) If, after any accounts of the Spindles Board have been laid before Parliament the Board receive from any person appearing to them to be the owner of a cotton mill in Great Britain, a written demand for a copy of those accounts, the Board shall furnish such a copy to him free of charge.

(4) No sums shall be written off the accounts of the Spindles Board without the consent of the Board of Trade, which shall not be given except with the approval of the Treasury; and for the purpose of making up the revenue and expenditure account with respect to the general fund for any accounting period—

- (a) the revenue for that period on account of the spindles levy shall be taken to be the amount of spindles levy which becomes payable in that period to the Spindles Board; and
- (b) the payment of any moneys of the general fund (other than moneys transferred thereto from the spindles fund under a direction of the Board of Trade) to a sinking fund or loan redemption account in connection with loans on capital account shall be treated as expenditure.

10.—(1) If the revenue and expenditure account with respect to the general fund, as certified for any accounting period by the Comptroller and Auditor-General, shows an excess of expenditure over revenue, there shall be paid by the Board of Trade to the Spindles Board an amount equal to the deficit or, if the said account as so certified for any previous accounting period has shown a balance of revenue over expenditure, the amount, if any, by which the deficits shown by the said account as certified by the Comptroller and Auditor-General for the first-mentioned accounting period and any previous

Board of Trade to make good deficits on Spindles Board's revenue and expenditure account.

accounting periods (less any sums already paid under this subsection by the Board of Trade) exceed the surpluses so shown (less any sums already paid under this subsection by the Spindles Board); but if the said account, as certified by the Comptroller and Auditor-General for any accounting period subsequent to the first-mentioned accounting period, shows an excess of revenue over expenditure, then, subject to the following provisions of this section, an amount equal to the surplus shall be paid by the Spindles Board to the Board of Trade within the period of three months beginning on the day on which the account is so certified:

Provided that the Spindles Board shall not be liable under this subsection to pay any sum to the Board of Trade if that sum, together with any sum previously paid under this subsection by the Spindles Board to the Board of Trade, would exceed the amount of any sums so paid by the Board of Trade to the Spindles Board, with the appropriate addition on account of interest.

(2) Where, in relation to any accounting period, any sum is to be paid under this section by the Spindles Board to the Board of Trade, then if the Spindles Board have, when submitting their accounts for that period to the Board of Trade, given to the Board of Trade, in such form as the Board of Trade may prescribe, a certificate—

- (a) specifying the amount which has, in that period, become payable to the Spindles Board by way of the spindles levy, but which has neither been received by them in that period nor duly written off their accounts, and
- (b) stating that the Spindles Board have taken all reasonably practicable steps for the recovery of that amount,

the Board of Trade, with the approval of the Treasury, may from time to time direct, with respect to the whole or any part of the first-mentioned sum, that the period within which that sum or that part thereof, as the case may be, is to be paid to the Board of Trade, shall be extended by such further period as the Board of Trade may determine having regard to the resources of the general fund:

Provided that the Board of Trade shall not extend by more than twelve months in all the period fixed by the preceding subsection for the payment of any sum which is to be paid under this section to the Board of Trade in relation to any particular accounting period.

(3) In this section the expression "the appropriate addition on account of interest" means, in relation to any sum paid under this section by the Board of Trade to the Spindles Board, such amount as would have accrued in respect of interest on that sum if the payment thereof as aforesaid had been a loan to the Spindles Board bearing interest at the rate of two-and-a-half per cent. per annum; and any payment made under this section by the Board of Trade to the Spindles Board shall be deemed to be such a loan as aforesaid for the purpose of determining whether, and to what extent, any payment subsequently made under this section by the Spindles Board to the Board of Trade is to be treated as a payment of interest or as a repayment of principal.

11.—(1) If at any time the Spindles Board give to the Board of Trade, in such form as the Board of Trade may prescribe, a certificate—

Interim
advances by
Board of
Trade to
Spindles
Board.

- (a) stating that the Spindles Board have taken and are taking all reasonably practicable steps for the recovery of the debts which have become payable to them by way of the spindles levy;
- (b) specifying all the debts which have become so payable, but which have neither been recovered by the Spindles Board nor duly written off their accounts;
- (c) stating that the Spindles Board are obliged to make, within fourteen days after the day on which the certificate is given, such payment in respect of loans on capital account (including the carrying of sums to any sinking fund or loan redemption account, and the repayment of sums advanced from the spindles fund to the general fund) as may be specified in the certificate; and
- (d) specifying the amount (if any) by which the resources of the general fund available for the

purpose of meeting the said obligation of the Spindles Board fall short of the sum required for that purpose;

the Board of Trade shall, subject as hereinafter provided, advance to the Spindles Board the amount of the deficiency specified in the certificate or the amount of the debts so specified, whichever amount is the less:

Provided that the Board of Trade shall not advance any sum under this subsection in connection with any particular certificate of the Spindles Board, if, immediately after the advancing of that sum, the total outstanding amount of advances made under this subsection would exceed the total amount of the debts specified in the said certificate.

(2) All advances made under this section to the Spindles Board shall be treated as loans bearing interest at the rate of two-and-a-half per cent. per annum, which, as to both principal and interest, are charged, in priority to all other debts of the Spindles Board, whenever incurred, on the debts specified in the certificates of the Spindles Board in connection with which the advances were made, and shall be repaid in the following manner, that is to say:—

(a) any sums recovered by the Spindles Board in respect of the said debts shall, to the extent required to repay the advances with interest, be paid by the Spindles Board to the Board of Trade as and when received; and

(b) if and in so far as it is ultimately found that the amount of the advances and the interest thereon exceeds the amount of the debts aforesaid, the amount of the excess shall become payable forthwith by the Spindles Board to the Board of Trade.

Furnishing
of informa-
tion by
Spindles
Board to
Board of
Trade.

12. The Spindles Board shall, whenever requested by the Board of Trade so to do, produce to the Board of Trade, and allow them to inspect, such books and other documents, and furnish to the Board of Trade such information, in the possession of the Spindles Board as the Board of Trade consider it necessary for the purpose of either of the last two preceding sections to inspect and obtain.

13.—(1) The sums required for the making of any payment under this Act by the Board of Trade to the Spindles Board shall be paid out of moneys provided by Parliament or, if and in so far as those sums are not so paid, be charged on, and paid out of, the Consolidated Fund or the growing produce thereof.

Source of payments to be made by, and recovery and application of sums payable to, Board of Trade.

(2) The administrative expenses incurred by the Board of Trade for the purposes of this Act shall be defrayed out of moneys provided by Parliament.

(3) Any sum payable under this Act by the Spindles Board to the Board of Trade shall be recoverable as a debt due from the Spindles Board to the Crown and, when received by the Board of Trade, shall be paid into the Exchequer.

Miscellaneous and Supplementary Provisions.

14.—(1) Subject to the provisions of this section, the owner of every cotton mill in Great Britain shall, within one week after the beginning of each levy year, send to the Spindles Board, in such form as the Board may prescribe, a return showing the spindle capacity, as at the beginning of that year, of all the spinning machinery (if any) then in the cotton mill.

Returns and statistics in respect of cotton mills.

If any person fails to send to the Spindles Board in accordance with this subsection a return which he is thereby required to send, he shall be liable on summary conviction to a fine not exceeding one hundred pounds, and to a further fine not exceeding fifty pounds for every day on which the failure continues after a written demand for the return has been served on him by the Board; and if any person knowingly or recklessly makes in any return required by this subsection to be sent to the Board a statement false in any material particular, he shall be liable, on summary conviction, to imprisonment for a term not exceeding three months or to a fine not exceeding one hundred pounds or to both such imprisonment and such fine.

(2) The Spindles Board shall, as soon as may be after the end of each of the consecutive months during which their purchasing powers are exercisable, furnish to the Advisory Committee, in such form as the Committee,

with the concurrence of the Board of Trade, may require, a written return specifying—

- (a) the spindle capacity of any spinning machinery acquired by the Spindles Board during that month, and
- (b) the total amount paid or payable by the Spindles Board in respect of the acquisition of any property, rights or interests by them during that month.

(3) Within one week after the beginning of each of the consecutive periods of six months during which the purchasing powers of the Spindles Board are exercisable, the owner of every cotton mill in Great Britain shall, subject to the following provisions of this section, send to the Board, in such form as they may, with the approval of the Board of Trade, prescribe, a return showing the extent (if any) to which spinning machinery has been operated in the cotton mill during the six months immediately preceding that period, and, if any spinning machinery was operated in the cotton mill at any time during those six months, the quantity of the yarn which was, during those six months, produced in the cotton mill by means of that spinning machinery.

If any person—

- (a) fails to send to the Spindles Board in accordance with this subsection a return which he is thereby required to send, or
- (b) knowingly or recklessly makes in any return required by this subsection to be sent to the Board a statement false in any material particular,

he shall be liable on summary conviction to a fine not exceeding fifty pounds, and (in the case of a failure to send a return) to a further fine not exceeding ten pounds for every day on which the failure continues after a written demand for the return has been served on him by the Board.

(4) It shall be the duty of the Spindles Board to transmit to the Advisory Committee, in the form of general statistics relating to the cotton spinning industry as a whole, the information obtained by the Board from the returns made to them under the last

preceding subsection, and the Spindles Board may, after consulting the Advisory Committee, publish any of the said statistics in such manner as the Board think proper.

(5) Any document to be served for the purposes of this section on the owner of a cotton mill may be addressed "the owner" of the cotton mill (identifying it by its postal address) without further name or description, and may be served by post.

15.—(1) Any member or officer of the Spindles Board authorised in writing in that behalf by the Board may, on producing his authority, enter at all reasonable times any premises in which the Board have reason to believe that any spinning machinery is being kept, and may inspect the premises or any part thereof and examine any spinning machinery found therein, and may request any person found in the premises who is for the time being in charge of the premises or in control of the work carried on therein to produce to the member or officer, and allow him to examine, such books and other documents, and to furnish to him such information, as he may reasonably require for the purpose of enabling the Spindles Board to give effect to the provisions of this Act.

Powers of
entry and
inspection.

(2) Every person who obstructs, or who, without reasonable excuse, fails to comply with any request made by, any person in the exercise of his powers under this section shall be liable on summary conviction to a fine not exceeding fifty pounds.

16. Any person who, otherwise than in connection with the execution of this Act, discloses any information obtained by him by virtue of this Act, shall be liable on conviction on indictment to imprisonment for a term not exceeding two years, or to a fine not exceeding one hundred pounds, or to both such imprisonment and such fine, or on summary conviction to imprisonment for a term not exceeding three months, or to a fine not exceeding fifty pounds, or to both such imprisonment and such fine.

Restrictions
on dis-
closing
information
obtained
under
Act.

17. It shall be the duty of the Spindles Board to recover all levies and other debts payable to them under this Act, and generally to enforce the provisions of this Act.

Duty of
Spindles
Board to
enforce Act.

Offences
committed
by corpora-
tions.

18. Where any offence under this Act committed by a body corporate is proved to have been committed with the consent or connivance of, or to be attributable to any neglect on the part of, any director, manager, secretary or other officer of the body corporate, he, as well as the body corporate, shall be deemed to be guilty of that offence and shall be liable to be proceeded against and punished accordingly.

Priority of
debts in
respect of
spindles
levy.

4 & 5 Geo. 5.
c. 59.
3 & 4 Geo. 5.
c. 20.
19 & 20
Geo. 5. c. 23.

19. Subsection (1) of section thirty-three of the Bankruptcy Act, 1914, subsection (1) of section one hundred and eighteen of the Bankruptcy (Scotland) Act, 1913, and subsection (1) of section two hundred and sixty-four of the Companies Act, 1929, (which determine what debts shall have priority over other debts in bankruptcy and winding up) shall have effect as if the references in those subsections to local rates included references to sums due on account of the spindles levy, and section seventy-eight of the Companies Act, 1929, shall have effect accordingly.

Annual
reports to
be made by
Spindles
Board.

20. As soon as may be after the end of the year beginning on the appointed day, and of each of the next subsequent fourteen years being a year for which the spindles levy is payable, the Spindles Board shall prepare and submit to the Board of Trade a report on the operations of the Spindles Board during that year, and the Board of Trade shall, as soon as may be, lay before each House of Parliament a copy of every report submitted to the Board in pursuance of this section.

Exercise of
powers of
Board of
Trade.

21. Anything required or authorised by or under this Act to be done by, to or before the Board of Trade, may be done by, to or before the President of the Board, any Secretary, Under-Secretary or Assistant Secretary of the Board or any person authorised in that behalf by the President.

Inter-
pretation.

22.—(1) In this Act, unless the context otherwise requires, the following expressions have the meanings hereby respectively assigned to them, that is to say:—

“accounting period” means—

(a) the period beginning at the commencement of this Act and ending six months after the appointed day;

(b) the period of six consecutive months beginning on the day immediately following the end of the period mentioned in paragraph (a) of this definition, or on the day falling six months after that day, or on the anniversary of either of those days :

“ the appointed day ” means such day as the Board of Trade, with the consent of the Treasury, may by order determine :

“ cotton fibre ” does not include waste, from whatever process arising :

“ cotton mill ” means any premises used, or appropriated for use, by way of trade for the production of single yarn from cotton fibre or artificial fibre or from any mixture of textile fibres comprising cotton fibre or comprising staple rayon fibre or other artificial fibre, and “ cotton-spinning ” means the production of single yarn as aforesaid :

“ cotton spinner ” means a person carrying on the business of a cotton mill, whether or not in conjunction with any other business :

“ levy year ” means a year for which the spindles levy is payable :

“ mule spindles ” means spindles designed to be used for spinning single yarn on the intermittent spinning machine commonly known in the cotton-spinning industry as the mule :

“ ring spindles ” means spindles designed to be used in spinning single yarn on a continuous spinning machine with the aid of the mechanism commonly known in the cotton-spinning industry as a traveller and ring, or designed to be so used with the aid of the mechanism commonly known in the said industry as a flyer :

“ spindles ” means mule spindles or ring spindles :

“ spindles expenses ” means such expenses of the Spindles Board as are specifically attributable to particular transactions entered into by the Board under section two of this Act, and also

expenses incurred by the Board in respect of the insurance of property acquired by them under that section :

“spindles receipts” means such receipts of the Spindles Board as are specifically attributable to particular transactions entered into by the Board under section two of this Act, and also sums received by the Board in respect of the insurance of property acquired by them under that section :

“spinning machinery” means machinery designed or adapted to accommodate spindles, but does not include machinery designed for spinning yarn on the mechanical system commonly known in the cotton-spinning industry as the condenser system or on either of the mechanical systems commonly known in the woollen and worsted sections of the textile industry as the condenser woollen system and the worsted system respectively :

“year” means a period of twelve consecutive months beginning on the appointed day or on the anniversary of that day.

(2) For the purposes of this Act—

- (a) the owner of a cotton mill at any particular time shall be taken to be the person who, at that time, is or was carrying on, or entitled to carry on, the business of producing yarn in the cotton mill; and
- (b) the spindle capacity of any spinning machinery at any particular time shall be taken to be a number equal to the total number of mule spindles, or one-and-a-half times the total number of ring spindles, as the case may be, which, the spinning machinery is or was, at that time, capable of accommodating.

Short title
and extent.

23.—(1) This Act may be cited as the Cotton Spinning Industry Act, 1936.

(2) This Act shall not extend to Northern Ireland.

SCHEDULE.

CONSTITUTION, REMUNERATION, QUORUM, PROCEEDINGS, INCIDENTAL FUNCTIONS AND WINDING UP OF THE SPINDLES BOARD.

Section 1.

Incorporation of Board.

1. The Spindles Board shall be a body corporate, with a common seal and power to hold land without licence in mortmain.

Qualification, appointment and remuneration of members of Board.

2. A person shall be disqualified for being a member of the Spindles Board if and so long as he is a member of the Commons House of Parliament, or is either a cotton spinner or a director, officer or servant of an undertaking carrying on the business of a cotton mill.

3. The appointment of any member of the Spindles Board shall, subject to such terms as to removal from office as may be determined by the Board of Trade with the approval of the Treasury, be for such a period not exceeding five years, and shall be subject to such other terms (including terms as to remuneration, whether by salary or by fees and as to expenses), as may be so determined; and any amount which by virtue of this paragraph is payable to any member of the Spindles Board in respect of remuneration or expenses shall be paid to him by the Spindles Board.

4. Subject to the provisions of paragraph 2 of this Schedule, a member of the Spindles Board who ceases to hold office shall be eligible for reappointment to the Board.

Meetings and proceedings of Board.

5. At any meeting of the Spindles Board two shall be a quorum, and the Board shall have power to act notwithstanding any vacancy among the members of the Board.

6. If at any meeting of the Spindles Board the votes are equally divided on any question, the person acting as chairman of the meeting shall have a second or casting vote.

7. Any member of the Spindles Board other than the chairman may appoint a person approved by the Board of Trade

to act as his deputy at any meeting of the Spindles Board which he is unable to attend on account of illness or for any other reason; but the appointment of a deputy under this paragraph shall be for such period, and subject to such conditions, as the Board of Trade may determine.

8. All acts done at any meeting of the Spindles Board shall, notwithstanding that it is afterwards discovered that there was some defect in the appointment or qualification of a person purporting to be a member, or the deputy of a member, of the Board, be as valid as if that defect had not existed.

9. Minutes shall be kept of the proceedings of the Spindles Board, and any such minutes shall, if signed by the person purporting to have acted as chairman of the meeting to which they relate or of a meeting at which they were read, be evidence of the proceedings at the first-mentioned meeting; and the meeting to which any such minutes relate shall, until the contrary is proved, be deemed to have been regularly convened and constituted.

10. Subject to the provisions of this Schedule, the Spindles Board shall have power to regulate their own procedure.

Incidental functions of Board.

The Spindles Board—

- (a) may employ a secretary and such other officers, and such servants and agents, as the Board think fit, and, subject to the provisions of this Act, may pay to their secretary, officers, servants and agents such remuneration as the Board may determine;
- (b) shall have an office at which communications and notices will at all times be received, and shall notify to the Board of Trade the address of that office and any change in that address; and
- (c) may enter into such agreements, acquire such property, and do such things, as may in the opinion of the Spindles Board, be necessary or desirable for the purpose of exercising or performing any of their powers or duties, and may dispose, as they think fit, of any property acquired by them under this paragraph.

12. Any moneys for the time being standing to the credit of the spindles fund or the general fund may be left on current or deposit account in any bank, or invested in any securities in which a trustee may lawfully invest trust moneys by virtue of the powers conferred by section one of the Trustee Act, 1925, as extended by any subsequent enactment.

The Common Seal.

13. The application of the common seal of the Spindles Board to any document shall be attested by at least one member of the Board and by the secretary of the Board.

Instruments executed or issued by Board.

14. Any contract or instrument which, if entered into or executed by a person not being a body corporate, would not require to be under seal, may be entered into or executed on behalf of the Spindles Board by any person generally or specially authorised by them for the purpose.

15. A contract entered into by the Spindles Board shall not be avoided by reason only that a member of the Board is a party thereto or interested therein, and a member of the Board who is a party to, or interested in, a contract with the Board shall not, by reason only that he is a member of the Board, be liable to account to the Board for any profit realised by him by reason of the contract; but if a member of the Board has any pecuniary interest, direct or indirect, in any contract or proposed contract or other matter, and is present at a meeting of the Board at which the contract or other matter is a subject of consideration, he shall at the meeting, as soon as practicable after the commencement thereof, disclose the fact, and shall not take any part in the consideration or discussion of, or vote on any question with respect to, the contract or other matter.

Any reference in this paragraph to a member of the Spindles Board shall be construed as including a reference to his deputy.

16. Any document purporting to be a document duly executed or issued under the seal of the Spindles Board or on behalf of the Board shall, until the contrary is proved, be deemed to be a document so executed or issued, as the case may be.

Winding up of Board.

17. Part X of the Companies Act, 1929, shall have effect in relation to the Spindles Board, subject to the following modifications, that is to say:—

- (a) for the purpose of section three hundred and thirty-eight of the Companies Act, 1929, the principal place of business of the Spindles Board shall be deemed to be their office for the time being, as notified to the Board of Trade in accordance with this Schedule;

- (b) sub-paragraph (ii) of paragraph (e) of subsection (1) of section three hundred and thirty-eight of the Companies Act, 1929, shall not apply, and sub-paragraph (iii) of that paragraph shall have effect as if the words "or any member thereof as such" were omitted;
- (c) a petition for winding up the Spindles Board may be presented by the Board of Trade as well as by any person authorised under the provisions of the Companies Act, 1929, to present a petition for winding up a company; and
- (d) no person shall, in the event of the winding up of the Spindles Board, be liable to contribute to the assets of the Board by reason only of his being or having been a member of the Board.

18. Upon the winding up of the Spindles Board any assets of the Board remaining after the payment of the debts and liabilities of the Board and the costs and expenses of the winding up, shall be applied in paying to the Board of Trade such sum (if any) as would be payable to them by the Spindles Board if any amounts paid by the Board of Trade to the Spindles Board under section ten of this Act had been paid by way of loans bearing interest at the rate of two-and-a-half per cent. per annum, but, subject as aforesaid, shall be applied for the benefit of the cotton-spinning industry in Great Britain in such manner as the Board of Trade may direct.

CHAPTER 22.

An Act to carry out certain draft International Conventions relating to the employment of women during the night and to hours of work in automatic sheet-glass works, to amend the law relating to the hours of employment of women holding responsible positions of management who are not ordinarily engaged in manual work, and for purposes connected with the matters aforesaid. [14th July 1936.]

WHEREAS at its Eighteenth Session held at Geneva in June, nineteen hundred and thirty-four, the General Conference of the International Labour Organisation adopted two draft Conventions entitled "the Night